HF GROUP
Dreams Made Possible

Head Office: Rehani House
Koinange Street/Kenyatta Avenue
P.O. Box 30088 - 00100
Nairobi, Kenya
Tel: (+254 20) 3262000
Fax: (+254 20) 2250858
Email:customer.service@hfgroup.co.ke
Website: www.hfgroup.co.ke

March 30, 2021

Chief Executive Officer

Nairobi Securities Exchange Ltd

55 Westlands Road

P.O Box 43633 - 00100

NAIROBI

Dear Sir,

RE: HF GROUP PLC AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES AS AT 31 DECEMBER 2020

Please find enclosed a copy of the bank and Group audited financial statements and other disclosures for the period ended 31 December 2020 for your information and retention.

The Directors do not recommend payment of a dividend.

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Sammy Kamanthi

Chief Finance Officer

HFC LTD
AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank		Group Consolidated	
I	STATEMENT OF FINANCIAL POSITION	31.12.2019	31.12.2020	31.12.2019	31.12.2020
	AS AT 31 DECEMBER 2020	Audited	Audited	Audited	Audited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	558,941	761,310	558,941	761,310
2	Balances due from Central Bank of Kenya	2,287,778	756,604	2,287,778	756,604
3	Kenya Government and other securities held for dealing purposes	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-
5	Investment Securities:	-	-	-	-
	a) Held to Maturity:	**427,125**	**1,941,696**	**427,125**	**1,941,696**
	a. Kenya Government securities	427,125	1,941,696	427,125	1,941,696
	b. Other securities	-	-	-	-
	b) Available for sale:	**4,175,744**	**5,163,921**	**4,175,744**	**5,163,921**
	a. Kenya Government securities	4,175,744	5,163,921	4,175,744	5,163,921
	b. Other securities	-	-	-	-
6	Deposits and balances due from local banking institutions	870,481	205,010	870,481	205,010
7	Deposits and balances due from banking institutions abroad	69,046	763,728	69,046	763,728
8	Tax recoverable	62,768	233,135	151,220	344,930
9	Loans and advances to customers (net)	39,934,816	38,194,786	38,779,738	36,998,473
10	Balances due from banking institutions in the group	-	-	-	-
11	Investments in associates	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-
13	Investment in Joint ventures	242,379	208,071	1,731,214	1,635,079
14	Investment properties	538,064	559,631	1,256,768	1,263,268
15	Property and equipment	1,842,363	1,775,440	1,853,530	1,780,854
16	Prepaid operating lease rentals	-	-	-	-
17	Intangible assets	862,437	702,377	863,505	703,254
18	Deferred tax asset	1,012,883	1,094,505	1,216,715	1,305,059
19	Retirement benefit asset				
20	Other assets	1,647,064	2,117,846	2,213,113	1,822,064
21	**TOTAL ASSETS**	**54,531,890**	**54,478,060**	**56,454,918**	**55,445,251**
B.	**LIABILITIES**				
22	Balances due to Central Bank of Kenya	-	-	-	-
23	Customer deposits	37,476,110	40,005,915	37,399,987	39,944,490
24	Deposits and balances due to local banking institutions	528,250	1,190,118	528,250	1,190,118
25	Deposits and balances due to foreign banking institutions	-	-	-	-
26	Other money market deposits	-	-	-	-
27	Borrowed funds	5,803,723	3,681,087	5,803,723	3,681,087
28	Balances due to banking institutions in the group	-	-	-	-
29	Tax payable	-	-	-	-
30	Dividends payable	-	-	13,023	6,361
31	Deferred tax liability	-	-	-	-
32	Retirement benefit liability	-	-	-	-
33	Other liabilities	1,571,403	1,353,833	2,467,715	2,061,408
34	**TOTAL LIABILITIES**	**45,379,486**	**46,230,953**	**46,212,698**	**46,883,465**
C.	**SHAREHOLDERS' FUNDS**				
35	Paid up /Assigned capital	5,000,000	5,000,000	1,923,071	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	4,343,512	4,343,512
37	Revaluation reserves	180,440	310,662	881,903	1,012,125
38	Retained earnings/Accumulated losses	(2,308,522)	(4,226,070)	307,903	(2,384,781)
39	Statutory loan loss reserves	2,668,069	3,653,888	2,668,069	3,653,888
40	Other Reserves	48,005	(5,035)	67,012	13,971
41	Proposed dividends	-	-	-	-
42	Capital grants	50,750	-	50,750	-
43	**TOTAL SHAREHOLDERS' FUNDS**	**9,152,404**	**8,247,107**	**10,242,220**	**8,561,786**
44	**TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS**	**54,531,890**	**54,478,060**	**56,454,918**	**55,445,251**

HFC LTD

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank		Group Consolidated	
		31.12.2019	31.12.2020	31.12.2019	31.12.2020
II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 DECEMBER 2020	Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)
1	**INTEREST INCOME**				
1.1	Loans and advances	4,729,285	3,820,754	4,729,285	3,668,778
1.2	Government securities	419,374	555,322	419,374	555,322
1.3	Deposits and placements with banking institutions	18,517	41,409	18,517	41,409
1.4	Other Interest Income	-	-	-	-
1.5	**Total interest income**	**5,167,176**	**4,417,485**	**5,167,176**	**4,265,509**
2	**INTEREST EXPENSES**				
2.1	Customer deposits	1,787,622	1,805,618	1,787,622	1,805,618
2.2	Deposits and placement from banking institutions	99,171	154,219	99,171	154,219
2.3	Other interest expenses	976,819	445,495	1,262,076	439,412
2.4	**Total interest expenses**	**2,863,612**	**2,405,332**	**3,148,869**	**2,399,249**
3	**NET INTEREST INCOME/(LOSS)**	**2,303,564**	**2,012,153**	**2,018,307**	**1,866,260**
4	**OTHER OPERATING INCOME**				
4.1	Fees and commissions on loans and advances	133,044	54,074	133,044	54,074
4.2	Other fees and commissions	163,631	117,633	226,856	200,313
4.3	Foreign exchange trading income/(Loss)	50,151	85,270	50,151	85,270
4.4	Dividend Income	-	-	-	-
4.5	Other income	119,164	102,974	942,555	172,809
4.6	**Total Non-interest income**	**465,990**	**359,951**	**1,352,606**	**512,466**
5	**TOTAL OPERATING INCOME**	**2,769,554**	**2,372,104**	**3,370,913**	**2,378,726**
6	**OPERATING EXPENSES**				
6.1	Loan loss provision	351,194	414,803	350,441	405,069
6.2	Staff costs	924,350	1,108,624	1,078,236	1,227,163
6.3	Directors' emoluments	7,806	7,091	12,174	14,229
6.4	Rental charges	135,680	146,221	135,680	146,221
6.5	Depreciation charge on property and equipment	159,659	165,497	174,869	182,711
6.6	Amortisation charges	211,689	226,740	211,918	226,894
6.7	Other operating expenses	1,002,661	1,266,292	1,547,525	1,856,189
6.8	**Total Other Operating Expenses**	**2,793,039**	**3,335,268**	**3,510,843**	**4,058,476**
7	**Profit/(loss) before tax and exceptional items**	**(23,485)**	**(963,164)**	**(139,930)**	**(1,679,750)**
8	Exceptional items	5,752	(34,308)	2,128	(96,133)
9	**Profit/(loss) after exceptional items**	**(17,733)**	**(997,472)**	**(137,802)**	**(1,775,883)**
10	Current tax	(125,897)	-	(186,325)	(6,772)
11	Deferred tax	149,978	65,743	214,019	75,791
12	**Profit/(loss) after tax and exceptional items**	**6,348**	**(931,729)**	**(110,108)**	**(1,706,864)**
13	**Other Comprehensive Income**				
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	104,247	(75,772)	104,247	(75,772)
13.3	Revaluation surplus on Property,plant and equipment	-	137,076	-	137,076
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(31,274)	15,878	(31,274)	15,878
14	**Other Comprehensive Income for the year net of tax**	72,973	77,182	72,973	77,182
15	**Total comprehensive income for the year**	79,321	(854,547)	(37,134)	(1,629,682)
	Earnings per share	**1.27**	**(186.35)**	**(0.29)**	**(4.44)**
	Dividend per share	-	-	-	-

HFC LTD

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank		Group Consolidated	
		31.12.2019	31.12.2020	31.12.2019	31.12.2020
	DISCLOSURES	Audited	Audited	Audited	Audited
III	AS AT 31 DECEMBER 2020	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	**Non-Performing Loans and Advances**				
	a) Gross non-performing loans and advances	**12,316,003**	**10,798,847**	**12,316,003**	**10,798,847**
	b) Less: Interest in Suspense	**3,231,455**	**3,287,599**	**3,231,455**	**3,287,599**
	c) Total non-Performing loans and advances (a-b)	**9,084,548**	**7,511,248**	**9,084,548**	**7,511,248**
	d) Less: Loan loss provisions	2,655,962	3,563,855	2,655,962	3,563,855
	e) Net non-performing loans and advances(c-d)	**6,428,586**	**3,947,393**	**6,428,586**	**3,947,393**
	f) Discounted value of securities	6,428,586	3,947,393	6,428,586	3,947,393
	g) Net Exposure(e-f)	-	-	-	-
2	**Insider loans and advances**				
	a) Directors, shareholders and associates	1,411,487	2,211,600	1,411,487	2,211,600
	b) Employees	814,148	794,142	814,148	794,142
	c) Total insider Loans and Advances	**2,225,635**	**3,005,742**	**2,225,635**	**3,005,742**
3	**Off-Balance Sheet items**				
	a) Letters of credit, guarantees and acceptances	91,942	821,725	91,942	821,725
	b) Forwards, swaps and options	1,237,700	664,950	1,237,700	664,950
	c) Other contingent liabilities	-	-	-	-
	c) Total contingent liabilities	**1,329,642**	**1,486,675**	**1,329,642**	**1,486,675**
4	**Capital Strength**				
	a) Core capital	5,812,771	3,621,847	6,015,220	2,964,924
	b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000
	c) Excess/Deficiency	4,812,771	2,621,847	5,015,220	1,964,924
	d) Supplementary capital	558,493	578,502	558,493	578,502
	e) Total capital (a+d)	6,371,264	4,200,349	6,573,713	3,543,426
	f) Total risk weighted assets	44,679,426	46,280,127	45,152,456	47,340,184
	g) Core capital /Total deposit liabilities	15.30%	8.79%	15.86%	7.21%
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%
	i) Excess/Deficiency	7.30%	0.79%	7.86%	-0.79%
	j) Core capital /Total risk weighted assets	13.01%	7.83%	13.33%	6.26%
	k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%
	l) Excess/Deficiency (j-k)	2.51%	-2.67%	2.83%	-4.24%
	m) Total capital /Total risk weighted assets	14.26%	9.08%	14.57%	7.49%
	n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%
	o) Excess/Deficiency (m-n)	-0.24%	-5.42%	0.07%	-7.01%
	p) Adjusted Core Capital/Total Deposit Liabilities*	15.50%	8.90%		
	q) Adjusted Core Capital/Total Risk Weighted Assets*	13.20%	7.90%		
	r) Adjusted Total Capital/Total Risk Weighted Assets*	14.50%	9.20%		
5	**Liquidity**				
	a) Liquidity Ratio	20.80%	20.90%	20.80%	20.90%
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%
	c) Excess(Deficiency) (a-b)	0.80%	0.90%	0.80%	0.90%

***Notes**

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution as audited by PWC Kenya and received unqualified opinion.The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke.

They may also be accessed at the institutions head office located at Rehani house, Kenyatta Avenue/Koinange Street,Nairobi after the approval by members at the annual general meeting

The financial statements were approved by the Board of Directors on 30 March 2021

Robert Kibaara	Kaushik Manek	Regina Anyika
Group Chief Executive Officer	HFC Chairman	Ag HFC Managing Director

Consolidated statement of changes in equity

	Share capital	Share premium	Revaluation reserves	Statutory credit risk reserve	Retained earnings	Fair value reserves	Total
	Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Year ended 31 December 2019							
At start of year	1,923,071	4,343,512	881,903	1,885,489	1,292,467	(5,961)	10,320,481
Changes on initial application of IFRS 16, net of deferred income tax	-	-	-	-	(91,877)	-	(91,877)
Restated at start of year	1,923,071	4,343,512	881,903	1,885,489	1,200,590	(5,961)	10,228,604
Total comprehensive income for the year	-	-	-	-	(110,108)	72,973	(37,135)
Transfer to statutory credit risk reserve	-	-	-	782,580	(782,580)	-	-
At end of year	1,923,071	4,343,512	881,903	2,668,069	307,902	67,012	10,191,469
Year ended 31 December 2020							
At start of year	1,923,071	4,343,512	881,903	2,668,069	307,902	67,012	10,191,469
Total comprehensive income for the year	-	-	130,222	-	(1,706,863)	(53,040)	(1,629,681)
Transfer to statutory credit risk reserve	-	-	-	985,819	(985,819)	-	-
At end of year	1,923,071	4,343,512	1,012,125	3,653,888	(2,384,780)	13,972	8,561,788

Consolidated statement of cash flows

	2020 Shs'000	2019 Shs'000
Net cash flows from operating activities	1,156,198	5,694,825
INVESTING ACTIVITIES		
Purchase of property and equipment	(32,409)	(39,220)
Purchase of investment property	(37,848)	(60,000)
Proceeds from sale of equipment	58	16,934
Purchase of intangible assets	(66,680)	(67,870)
Net cash flows used in investing activities	(136,879)	(150,156)
FINANCING ACTIVITIES		
Principle repayments of borrowings	(2,175,496)	(3,020,004)
Payment of corporate bond	-	(3,051,811)
Dividend paid	(6,662)	(15,032)
Principal lease payments	(130,488)	(129,872)
Net cash flows used in financing activities	(2,312,646)	(6,216,719)
Net decrease in cash and cash equivalents	(1,293,327)	(672,050)
Cash and cash equivalents at start of year	2,337,779	3,009,372
Effects of exchange rate differences	13,964	457
Cash and cash equivalents at end of year	1,058,416	2,337,779